

Ref No.: BD-CW-SAMCO-ACE-LET-STR-080

24-May-2026

To: ACE Project Management | Moharram Bakhoum

Attention: Eng. Abdulaziz Mohamed (Project Manager)

Project Name: The Big Business District.

Contract/Package: Construction Works.

Subject: Response to Notice – Alleged Failure to Achieve Section (1) Milestone “Ref No.: BD-ACEPM-SAMCO-LET-036”.

Dear Sirs,

With reference to the Engineer’s correspondence regarding the alleged failure to achieve Section (1) Milestone within the contractual timeframe, the Contractor hereby acknowledges receipt of the said notice.

While the Contractor reaffirms its continuous commitment to execute the Works in accordance with the Contract requirements and the approved construction programme, the Contractor wishes to clarify that the progress of the Works has been significantly affected by factors beyond the Contractor’s control, primarily the delay in the supply of reinforcement steel by the Employer, in addition to delays and disruptions arising from changes and conflicts within the IFC Package.

The Contractor had previously issued timely material requisitions for reinforcement steel well in advance of the required dates in accordance with the approved programme. However, the delay in supply resulted in a gap between the planned construction sequence and the availability of the required materials, which directly impacted the continuity of activities on the project’s critical path.

Furthermore, the Contractor was compelled to temporarily suspend portions of the Works on site commencing from 18 March 2026, being the date of issuance of Transmittal Sheet (TRA) No. 017 related to the revised IFC Package, due to the existence of technical changes and design conflicts requiring clarification prior to proceeding with execution.

Accordingly, the Contractor submitted Contractor’s Request for Information (RFI) No. 17 dated 11 April 2026 seeking the necessary technical clarifications and instructions. However, the response of the supervising consultant was only received on 04 May 2026, which resulted in additional delay and disruption to the progress of the affected activities.

In an effort to mitigate the impact of such delays and avoid disruption to the Works, the Contractor has taken proactive measures by arranging the supply and delivery of reinforcement steel to the site in stages, to the extent possible, in line with actual site requirements, with the objective of preventing work stoppages and minimizing the adverse impact on project progress and continuity.

The Contractor further emphasizes that any assessment of progress, milestone achievement, or responsibility for delay should take into consideration the cumulative impact of Employer-related delays, IFC Package revisions, design conflicts, and delayed responses to technical queries affecting critical activities and the approved construction programme.

Accordingly, the Contractor hereby expressly reserves all contractual rights under the Contract, including but not limited to the entitlement for Extension of Time pursuant to Clause 8.4 and the submission of all related notices and claims in accordance with Clause 20.1 of the Contract, arising from the direct and indirect consequences of the aforementioned delays and disruptions.

Meanwhile, the Contractor is currently undertaking a comprehensive review of the impacted activities and shall submit a Revised Plan at the earliest opportunity, taking into consideration the actual site constraints and current execution conditions.

The Contractor kindly requests that the above circumstances be duly considered within the proper contractual context when assessing the current project status.

Yours faithfully,

Best regards,

Eng./ Mohammed Sami Mohammed
Project Director
SAMCO National Construction

